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Zhongji Innolight Co., Ltd.

A Leading Global Optical Interconnects Solution Provider

CITI'S TAKE

Innolight is the global No.1 optical interconnects solution provider as of 2025 by revenue, according to LightCounting. We believe the company's (1) comprehensive product offering, (2) scalable production capacity, (3) cutting-edge technology advancement and R&D capability, (4) flexible and resilient supply chain, and (5) strong relationships with global leading CSP/AI customers will support its leading position in the AI era. We forecast Innolight can deliver 129%/149% revenue/net profit CAGR in 2025-28E thanks to rapid capacity ramp, improving product mix (high-speed products), rising adoption of SiPh technology, and operating leverage.

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Robust optical interconnects demand — Global cumulative AI capex is forecast to reach up to US\$6.1trn over 2026E-30E, from US\$0.9trn from 2021-25, per CIC. The global datacom market could reach c.US\$98.6bn by 2030E, on LightCounting projections. In 2025, C.77% of datacom optical interconnects were demanded from scale-out network and 22% from front-end network and others, and this is forecast by LightCounting to grow at 19.4% and 21.6% CAGR during 2026E-30E respectively. Scale-across network is a niche market, which is forecast by LightCounting to grow from 1% of market in 2025 to 7% in 2030E with a CAGR of 117.4%. Scale-up network will require many optical interconnects, as it is replacing copper interconnects within the rack; LightCounting projects this market to grow at 297.7% in the period.

High-speed migration in datacom optics — Per LightCounting and CIC, 1.6T is emerging in 2025, accounting for c.4% of the global datacom optical interconnect market, with forecast expansion to c.45% of market by 2030E. 3.2T is seen by LightCounting and CIC emerging in 2027E with initial contribution of 0% likely and forecast expansion to 32% of market by 2030E. 800G became a mainstream product in 2025/26 with contribution of 51%/48%, surpassing 400G and likely peaking out and shrinking to 16% by 2030E given rise of 1.6T and 3.2T. We estimate Innolight could ship 30.1mn / 60.2mn / 96.4mn optical transceivers in 2026E / 27E / 28E, up 43%/100%/60% YoY, with high-speed optical transceivers (800G or above) contributing 26.0mn/57.0mn/94.0mn or 86%/95%/98% of total shipments.

Leader with strong competitive edge — Innolight ranked as the No.1 optical interconnect solutions provider globally for five consecutive years since 2021, with market share of 21.2% by revenue in 2025. The company is the first to launch 400G/800G/1.6T optical transceivers globally with its leadership in SiPh-based optical transceiver. We believe Innolight's (1) comprehensive product offering, (2) scalable production capacity, (3) cutting-edge technology advancement and R&D capability, (4) flexible and resilient supply chain, and (5) strong relationship with global leading CSP/AI customers will support its leading position in the AI era.

Estimates revisions — See details of our revised estimates in the "Financial Analysis" section below.

Valuation — We believe Innolight would tend to be valued at a premium to direct peers TFC, DSBJ, and Eoptolink, with average 2027E P/E of 15.4x, given its market leadership, early SiPh penetration and exposure to all US CSPs and AI customers.

Key risks — Customer concentration, intensifying competition, demand cyclicity, technology risks, supply chain and manufacturing risks, geopolitical/trade risks.

• See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations.

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A Leading Optical Interconnects Solution Provider

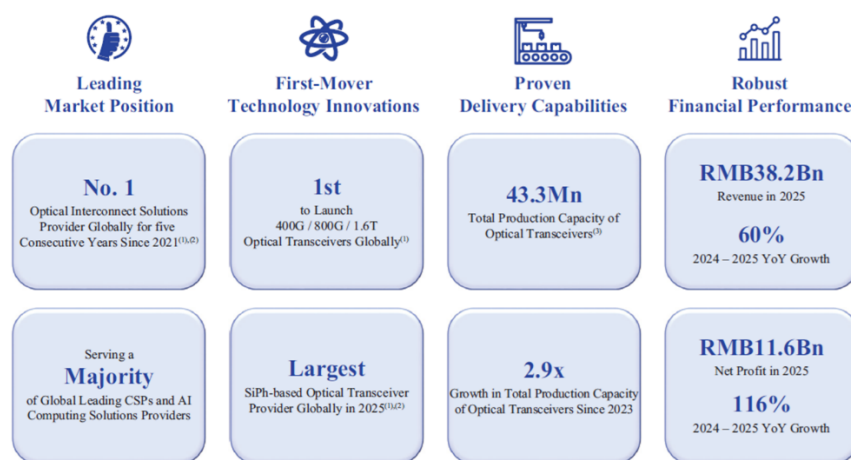
Business overview

Zhongji Innolight, founded in 2008, is now a world leader in development of optical transceivers. It provides a wide range of high-speed optical solutions for optical communications networking, especially for AI and data center applications by global top-tier data center operators and cloud service providers. In addition, Innolight provides optical transceivers solutions for enterprise data networking applications, metro and long-haul transport networking, and mobile-access networking applications.

A leader and enabler

Innolight ranked No.1 in the optical interconnect solutions provider globally for four consecutive years since 2021, with market share of 21.2% by revenue in 2025. The company is the first to launch 400G/800G/1.6T optical transceivers globally with its leadership in SiPh-based optical transceiver.

Figure 1. Innolight – Leadership and Competitiveness



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Source: Citi Research, CIC

Figure 2. Global Ranking of Top-5 Optical Interconnects Solution Providers, 2024

Company Name	Market share (%)
The Company	21.20%
Company A	14.00%
Company B	12.10%
Company C	5.00%
Company D	4.70%

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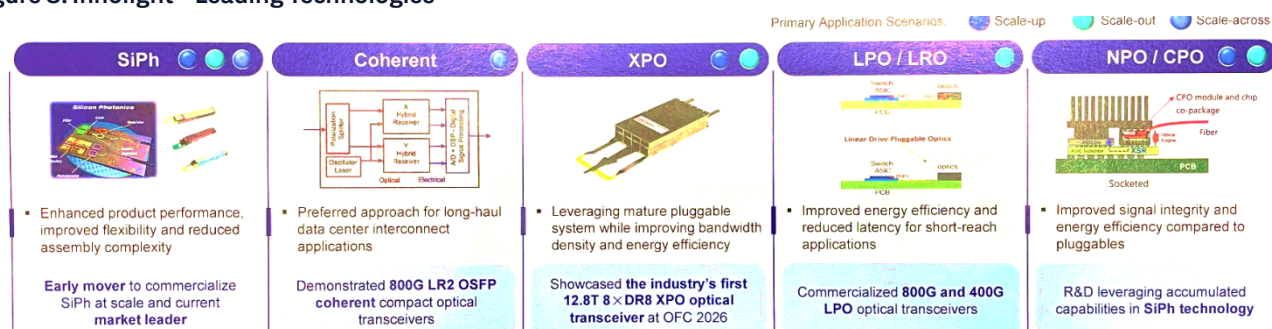
Source: Citi Research, LightCounting, CIC

Comprehensive product offerings

The company has a comprehensive and versatile product offering, covering datacom and telecom use cases, short-range/ long-range/ ultra-long-range transmission distances, and various form factors including OSFP (octal small form factor pluggable), QSFP-DD (quad small form factor pluggable double density), QSFP 28 (quad small form factor pluggable 28), CFP2 DCO (C form factor pluggable 2 - digital coherent optics) etc. as well as various transmission speed including 10G to 1.6T and beyond that XPO, NPO, CPO, etc.

The company was the early mover to commence offering SiPh at scale and currently is the market leader. It also demonstrated 800G LR2 OSFP coherent compact optical transceivers and is working on Coherent-Lite solution for future scale across solutions. The company also showcased the industry's first 12.8T 8xDR8 XPO optical transceiver at OFC 2026. For advanced packaging optics, Innolight commercialized 800G and 400G LPO optical transceivers and has achieved R&D progress with customers leveraging accumulated capabilities in SiPh technology for NPO and CPO solutions.

Figure 3. Innolight – Leading Technologies



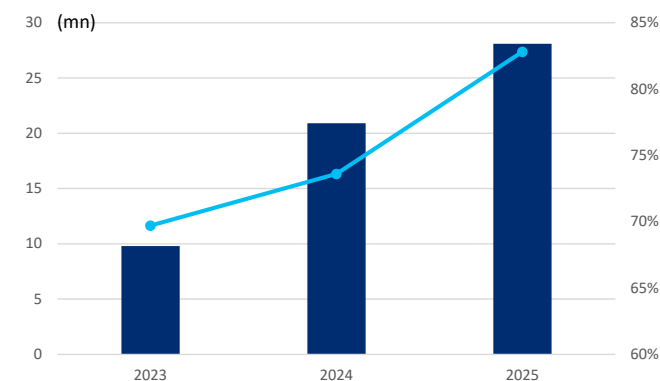
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Source: Citi Research, Company Reports

Scalable production supports time-to-market & global coverage

In order to serve global customers, Innolight has several production bases including Suzhou, Chengdu, Tongling, Taiwan, and Thailand, with 28.1mn units of optical transceivers production capacity in 2025, 2.9x growth vs. 2023. Overseas capacity accounted for 71% of total production capacity in 2025, and the remaining is from mainland China. We expect Innolight will expand its capacity 100%/100%+ YoY in 2026E/27E in order to fulfill rising demand.

Figure 4. Innolight – Production Capacity and Utilization Rate



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Source: Citi Research, Company Reports

Figure 5. Innolight – Manufacturing Sites in Asia



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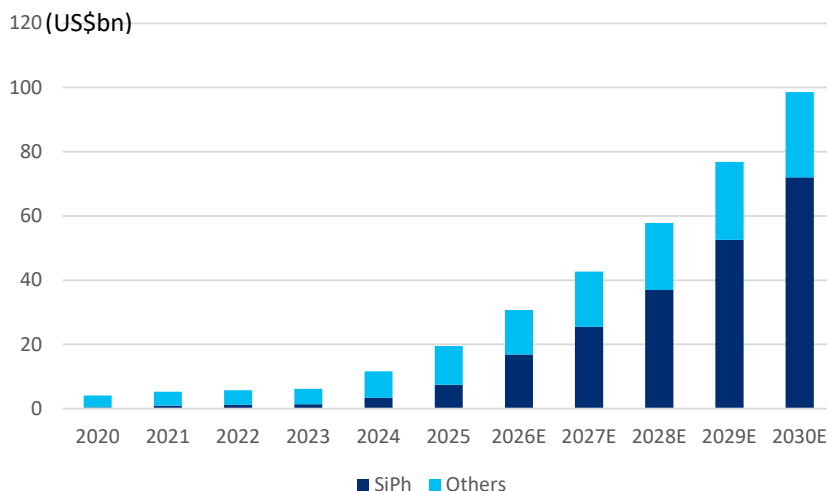
The company has built up differentiated new product introduction (NPI) processes, with highly adaptive equipment and streamlined production processors, supported by automation and AI applications, to drive rapid scaling to mass production.

Cutting-edge technologies and strong R&D

Innolight is a market leader in Silicon Photonics (SiPh). Its R&D investment in SiPh-based optical transceivers started from 2017, making it an early mover to commercialize SiPh at scale. Now, 50%+ of high-speed products utilize SiPh technology. The company also demonstrated its R&D capabilities in cutting-edge technologies, including 800G LR2 OSFP coherent compact optical transceivers, showcasing the industry's first 12.8T 8x DR8 XPO optical transceiver at OFC 2026, commercialized 800G and 400G LPO optical transceivers for scale-out network, and R&D for NPO/CPO by leveraging accumulated capabilities in SiPh technology.

According to LightCounting and CIC, SiPh penetration could reach 73% by 2030E from 38% in 2025. We believe Innolight, as a leader in SiPh optical interconnect solutions, will significantly benefit from the booming growth in SiPh products. Products utilizing SiPh technology constituted approximately 70% of Innolight's high-speed product portfolio by revenue in 1Q26.

Figure 6. Rising Penetration of SiPh in Global Datacom Optical Interconnect Market



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Source: Citi Research, LightCounting, CIC

Flexible and resilient supply chain

Innolight generally procures key components (including PMIC, DSP, EML) from global premier suppliers, but at the same time, it cultivates domestic supply chains to further diversify its supplier base. The company also uses its strategic investments and partnerships to prepare for advanced technologies and global expansion.

We believe Innolight has a unique edge in supply-chain management, including global, broad-based supplier networks with low concentration in single suppliers and strong bargaining power. The company uses multi-year framework agreements to secure critical components. Long-term strategic collaboration is important to provide resilience in supply-chain procurement, as a result driving an excellent delivery track record and cost-competitive supply to its customers.

Strong relationships with industry-leading customers

90% of the company's revenue came from non-China markets in 2025. The company is serving a majority of global leading CSPs and AI computing solutions providers, which are mostly the world's leading players. Innolight has built up long-term customer partnerships backed by seamless alignment on technology and product roadmaps. The company is able to provide unique insights on emerging industry trends as customers upgrade AI infrastructure. We think customers also see value in Innolight's positioning as market leader driving industry innovation and delivering sustained value to partners.

Company history

Figure 7. Innolight – Key Development Milestones

Year	Key milestones
2008	Inception in Silicon Valley and Suzhou Early investment from US investors including Acorn Campus, Monet Investments, Cascade Capital
2009	Launched 10G optical transceiver products
2011	Began cooperation with the first top-tier CSP customer
2012	Launched 40G optical transceiver products
2014	Received investments from Google Capital, Lightspeed China Partners Launched 100G optical transceiver products
2018	Expanded global footprint by establishing Singapore subsidiary Launched the first in the industry 400G optical transceiver products
2020	Launched the first in the industry 800G optical transceiver products
2021	Became world's largest provider of optical interconnect solutions
2022	Thailand factory commenced operation
2023	Launched the first in the industry 1.6T optical transceiver products
2025	Annualized production capacity exceeded 28mn units

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Source: Citi Research, Company Reports

Industry Overview & Outlook

Riding on Promising Optical Interconnects Demand in the AI Era

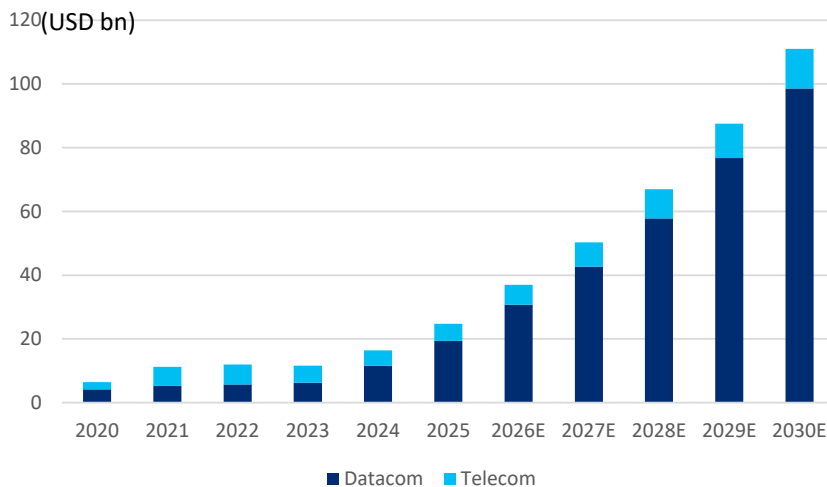
Global AI capex

According to CIC, global capital expenditure on AI amounted to US\$0.9trn between 2021 and 2025. Moving forward, investments in AI are projected by CIC to continue to grow substantially, reaching US\$6.1trn over 2026E to 2030E, representing an increase of more than five times compared to the prior five-year period. CIC expects the contribution of optical interconnects should also increase as a percentage of global AI capex from 5% in 2025E, driven by high-bandwidth, low-latency and energy-efficient data transmission, changes in datacenter network architecture, as well as increasing scale of computing clusters and higher interconnect density.

Optical interconnects market

According to LightCounting and CIC, the global optical interconnects market reached US\$24.8bn in 2025 and is forecast to reach US\$111.0bn in 2030E, with a CAGR of 31.6% (2026E-30E). The expansion is expected to be led by datacom, where LightCounting projects the market to scale from US\$19.4bn in 2025 to US\$98.6bn in 2030E, delivering a CAGR of 33.8% over 2026E to 2030E. The telecom optical interconnects market is forecast by LightCounting to grow at 18.4% CAGR (2026E-30E) to US\$12.4bn by 2030E.

Figure 8. Global Optical Interconnects Industry by End-Markets

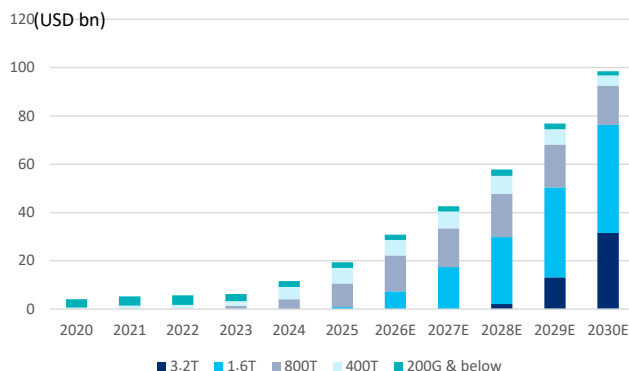


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Source: Citi Research, CIC, LightCounting

In data center networks, optical interconnects are widely applied between switch-to-switch and switch-to-server connections, across all application scenarios such as scale-out network, scale-up network, front-end network, and scale-across network etc. to provide high-speed, low-latency connectivity.

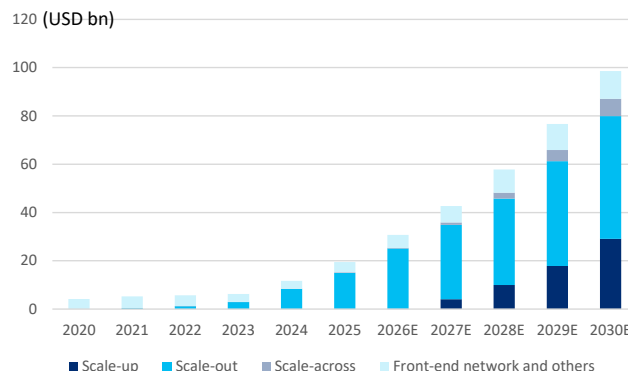
Figure 9. Global Datacom Optical Interconnects Market by Transmission Speed to Reach



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Source: Citi Research, LightCounting, CIC

Figure 10. Global Datacom Optical Interconnects Market by Networking Scenarios



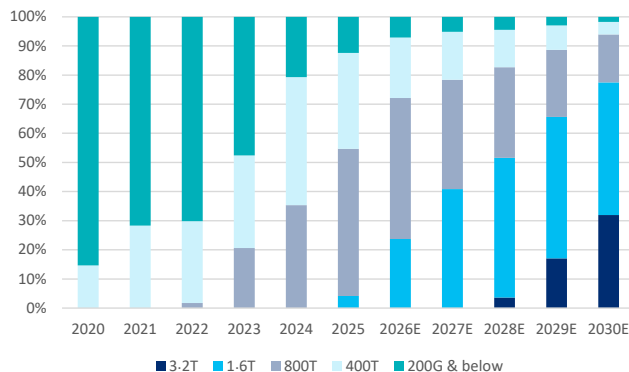
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Source: Citi Research, LightCounting, CIC

According to LightCounting, 77% of datacom optical interconnects were demanded from scale-out network and 22% from front-end network in 2025, and this is forecast to grow at 19.4% and 21.6% CAGR during 2026E-30E respectively. Scale-across network is a niche market which is forecast by LightCounting to grow from 1% of market in 2025 to 7% in 2030E with a CAGR of 117.4%. Scale-up network will require many optical interconnects as it is replacing copper interconnects within the rack; it is projected by LightCounting to grow at 297.7% in the period.

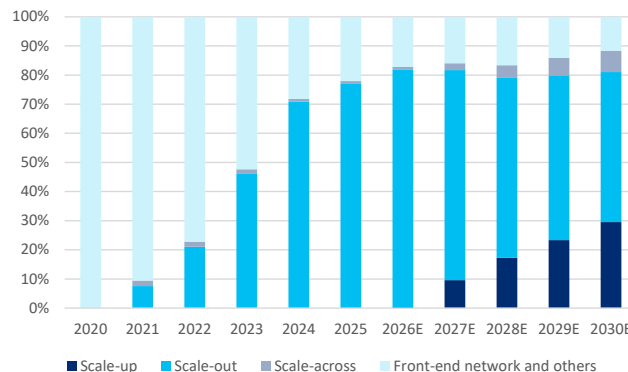
Increasing data transmission bandwidth, speed, and density are driving acceleration of the product iteration cycle of optical interconnect products. We noted that each iteration takes three to four years. For instance, 100G/28G Serdes (Serializer/Deserializer) entered commercialization in 2016; 400G/56G Serdes migrated to commercialization in 2019; 800G/112G Serdes developed from 2020 and migrated to commercialization in 2023; and 1.6T was migrated in 2025 along with Nvidia Blackwell AI server ramp.

Figure 11. 1.6T should be a major transmission speed by 2030E in the global datacom optical interconnects market



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Source: Citi Research, LightCounting, CIC

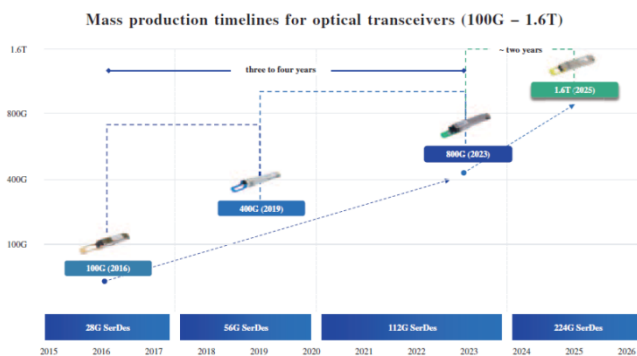
Figure 12. Scale-out should be one of the major scenarios in the global datacom optical interconnects market due to expanding AI datacenter; scale-up should emerge and become vital



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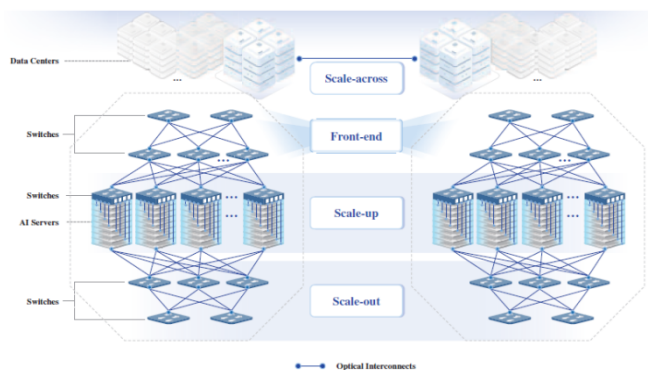
According to LightCounting and CIC, 1.6T is emerging in 2025 and accounted for c.4% of the global datacom optical interconnect market in the year; they forecast it will expand to c.45% of the market by 2030E. 3.2T is seen by LightCounting and CIC emerging in 2027E with initial contribution of almost 0% likely and then expanding to c.32% of the market by 2030E. 800G became a mainstream product in 2025/26 with contribution of c.51%/48% respectively, surpassing 400G and likely peaking out and shrinking to c.16% by 2030E given the rise of 1.6T and 3.2T.

Figure 13. Each iteration of optical transceiver takes three to four years



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Source: Citi Research, LightCounting, CIC

Figure 14. Increasing optical interconnects demand across all scenarios



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Beyond 3.2T, the industry is developing new technologies to cope with further high speed and bandwidth transmission but lower power consumption design for AI data center networks. Pluggable optical transceivers will migrate to XPO (Extra-Dense Pluggable Optics), NPO (Near-Package Optics) and CPO (Co-Packaged Optics). These will likely be used in scale-up connectivity, especially between servers, or chips-to-switch within a data center. The initial ramp-up timeline is likely from 2027. Innolight is ready for technology migration by leveraging its advantage in SiPh to pioneer next-generation XPO/ NPO/ CPO.

Financial Analysis

Estimates revisions

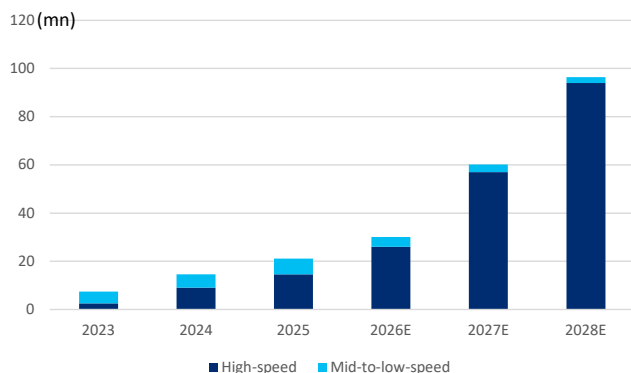
We raise our 2026E/2027E revenue forecasts by 12.4%/100% to reflect stronger demand for 800G and 1.6T transceivers, as well as continued capex upgrades by CSP and AI customers. We also increase our 2026E/2027E net profit forecasts by 2.4%/78.1%, driven by stronger shipment volumes and a more premium product mix, partly offset by lower margins on low-speed products. In addition, we introduce our 2028E projections.

Revenues, volumes, and ASPs

In 2025, Innolight shipped 14.6mn high-speed optical transceivers and 6.5mn mid-to-low-speed optical transceivers, up 62% and 16% respectively, with ASP of US\$333 (+5% YoY) and US\$74 (-1% YoY) respectively. Blended ASP has increased by 15% / 13% YoY to US\$224 / US\$253 per unit in 2024/25 thanks to improving product mix (higher contribution from high-speed products). As a result, the company achieved revenues of US\$3.41bn / US\$5.46bn, up 123% / 60% YoY in 2024/25, respectively.

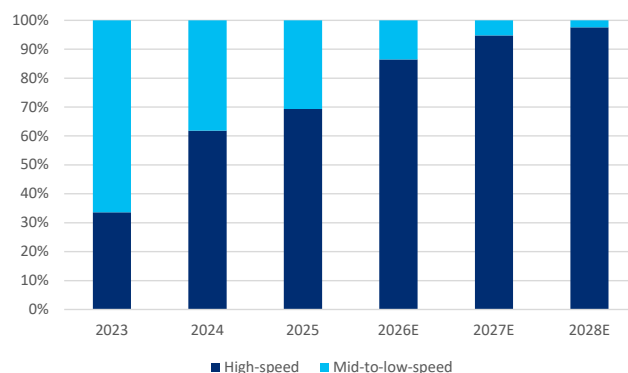
Looking forward, we estimate the company could ship 30.1mn / 60.2mn / 96.4mn optical transceivers in 2026E/27E/28E, up 43% / 100% / 60% YoY, in which high-speed optical transceivers (800G or above) would contribute 26mn / 57mn / 94mn, 86% / 95% / 98% of total shipments.

Figure 15. Innolight – Optical Transceiver Shipments (2023–28E)



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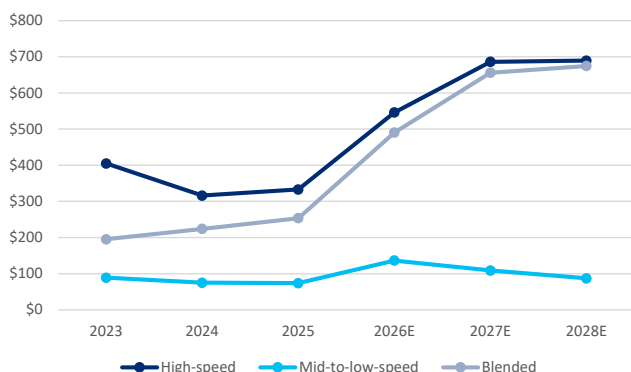
Figure 16. Innolight – Increasing High-speed Products Contribution



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Source: Company Reports and Citi Research Estimates

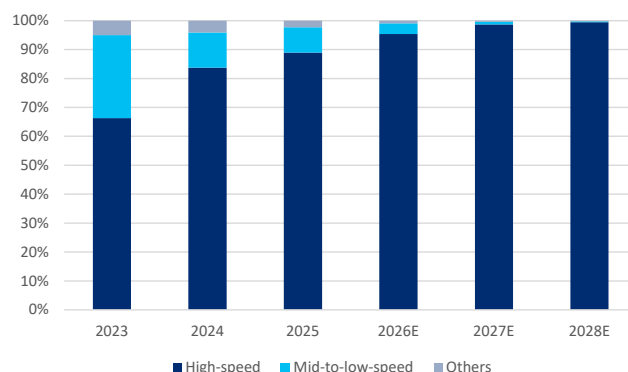
For ASP, we expect blended ASP will grow 94% / 34% / 3% YoY to US\$490 / US\$656 / US\$675 in 2026E/27E/28E. Prices on mature high-speed products like 800G/1.6T will likely peak in 2026E amid massive ramp-up in the market plus more competition, while Innolight's blended ASP should increase on premiumization of product mix.

Figure 17. Innolight – ASP Trend in Its Optical Transceivers Shipments



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Figure 18. Innolight – Revenue Contribution by Product Mix



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Thus, we anticipate the revenue of high-speed optical transceivers to reach US\$14.2bn / US\$39.1bn / US\$64.8bn in 2026E/27E/28E, up 192% / 176% / 66% YoY, accounting for 95% / 99% / 99% of total revenue. Mid-to-low-speed optical transceivers are expected to grow +16% / -38% / -40% YoY to US\$554mn / US\$346mn / US\$207mn due to resources allocation and customer migration to high-speed products. Others segment, including optical components and automotive products, is forecast to grow by 14% / 12% / -1% in 2026E/27E/28E to US\$141mn / US\$158mn / US\$156mn.

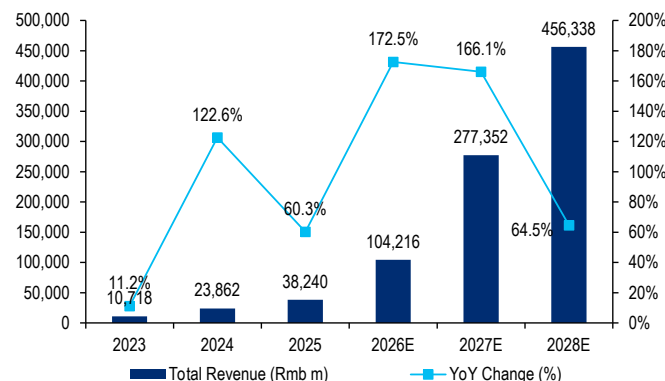
For total revenue, the company recorded Rmb10.7bn / Rmb23.9bn / Rmb38.2bn in 2023/24/25, up 11% / 123% / 60% YoY. Looking forward, we forecast total revenue at Rmb104bn / Rmb277bn / Rmb456bn in 2026E/27E/28E, up 173% / 166% / 65% YoY.

Margins

In 2023/24/25, the company recorded GM of 31.6% / 33.3% / 41.5%, up 2.3ppt / 1.7ppt / 8.2ppt YoY respectively. With improved operating leverage, EBIT margin achieved 19.6% / 24.7% / 35.1%, up 7.5ppt / 5.1ppt / 10.4ppt, even as the company accelerated its R&D spending to Rmb739mn / Rmb1.24bn / Rmb1.62bn (-4% / +68% / +30% YoY).

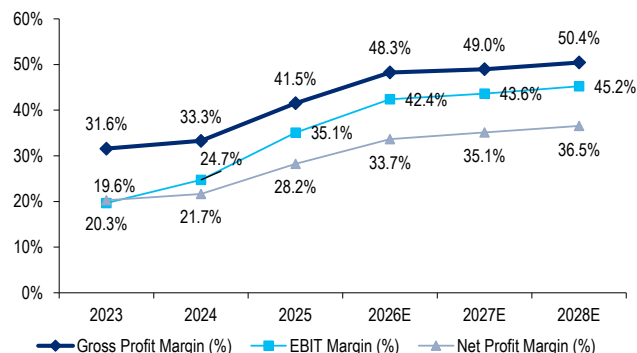
GM could further improve from 41.5% in 2025 to 48.3% / 49.0% / 50.4% in 2026E/27E/28E, thanks to better product mix, rising adoption of SiPh technology, and improving yield and utilization of production. We project EBIT margin could reach 42.4% / 43.6% / 45.2% in 2026E/27E/28E on higher GM and operating leverage.

Figure 19. Innolight – Solid Revenue Growth



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Figure 20. Innolight – Margins Upward Trend Driven by Better Product Mix, Rising SiPh Adoption, Operating Leverage



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R&D

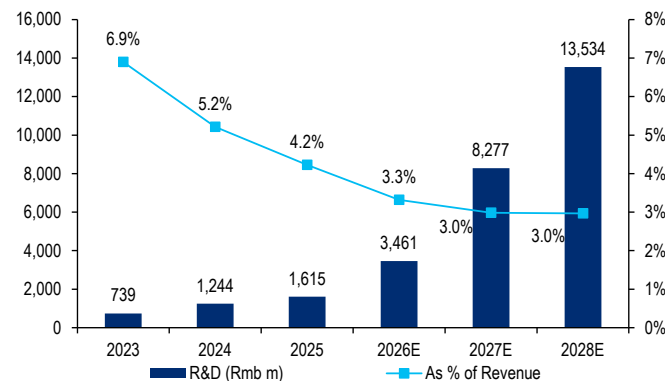
We believe the company will invest persistently in R&D for advanced optics technology. We anticipate Rmb3.5bn / Rmb8.3bn / Rmb13.5bn of R&D spending in 2026E/27E/28E, up 114% / 139% / 64% YoY with R&D-to-sales ratio to reach 3.3% / 3.0% / 3.0%.

Profits

Net profit reached Rmb2.17bn / Rmb5.17bn / Rmb10.80bn in 2023/24/25, up 78% / 138% / 109% YoY, with net margins of 20.3% / 21.7% / 28.2% respectively.

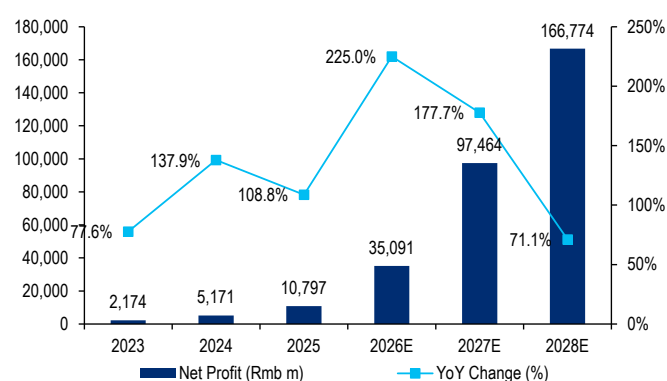
We forecast net profit will grow by 225% / 178% / 71% YoY to Rmb35bn / Rmb97bn / Rmb167bn in 2026E/27E/28E, with net margins reaching 33.7% / 35.1% / 36.5% respectively.

Figure 21. Innolight – Persistent R&D Investment for Technology Advancement



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Figure 22. Innolight – Net Profit Achieved 149% CAGR for 2025-28E



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Financial statements

Figure 23. Innolight – Income Statement

Income Statement (Rmb m)	2023	2024	2025	2026E	2027E	2028E
Total Revenue	10,718	23,862	38,240	104,216	277,352	456,338
YoY Change (%)	11.2%	122.6%	60.3%	172.5%	166.1%	64.5%
Gross Profit	3,385	7,941	15,880	50,302	135,867	230,211
Gross Profit Margin (%)	31.6%	33.3%	41.5%	48.3%	49.0%	50.4%
YoY Change (%)	25.1%	134.6%	99.9%	212.9%	170.1%	69.4%
Operating Expenses						
Business Tax and Surcharges	51	47	78	277	735	1,180
As % of Total Revenue	0.5%	0.2%	0.2%	0.3%	0.3%	0.3%
Selling Expenses	125	199	226	459	978	1,446
As % of Total Revenue	1.2%	0.8%	0.6%	0.4%	0.4%	0.3%
Administrative expenses	434	680	761	1,968	4,957	7,699
As % of Total Revenue	4.0%	2.8%	2.0%	1.9%	1.8%	1.7%
R&D Expenses	739	1,244	1,615	3,461	8,277	13,534
As % of Total Revenue	6.9%	5.2%	4.2%	3.3%	3.0%	3.0%
EBITDA	2,631	6,612	14,349	45,816	123,239	209,285
EBITDA Margin (%)	24.5%	27.7%	37.5%	44.0%	44.4%	45.9%
YoY Change (%)	58.6%	151.3%	117.0%	219.3%	169.0%	69.8%
EBIT	2,105	5,899	13,414	44,157	120,936	206,367
EBIT Margin (%)	19.6%	24.7%	35.1%	42.4%	43.6%	45.2%
YoY Change (%)	80.6%	180.2%	127.4%	229.2%	173.9%	70.6%
Financial Cost / (Gain)	-84	-144	183	73	-763	-2,105
Non-operating Income / (Expenses)	304	9	368	193	283	257
Expected Credit Loss	-9	-19	-15	-22	-25	-23
Investment Income	323	-33	379	186	286	253
Changes of fair value of assets	-3	67	14	34	29	34
Gain/Loss on Sales of Assets	-6	-9	-12	-8	-9	-9
Other Non-Operating Income	2	5	10	6	8	8
Other Non-Operating Expenses	-4	-2	-7	-4	-6	-6
Profit Before Tax	2,492	6,052	13,600	44,277	121,983	208,729
Income Tax	285	681	2,020	6,730	18,297	31,309
Net Profit	2,174	5,171	10,797	35,091	97,464	166,774
Net Profit Margin (%)	20.3%	21.7%	28.2%	33.7%	35.1%	36.5%
YoY Change (%)	77.6%	137.9%	108.8%	225.0%	177.7%	71.1%

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Source: Company Reports and Citi Research Estimates

Figure 24. Innolight – Balance Sheet

Balance Sheet (Rmb m)	2023	2024	2025	2026E	2027E	2028E
Current Assets:						
Cash and Cash Equivalents	3,234	4,988	10,944	23,117	63,617	162,502
Restricted Cash	83	66	43	0	0	0
Notes&Accounts Receivable	2,905	4,671	6,350	17,392	46,286	76,156
Accounts Receivable Financing	44	50	60	0	0	0
Prepayments	59	80	134	358	963	1,576
Inventories	4,295	7,051	12,681	34,559	91,972	151,326
Other Current Assets	699	1,289	873	2,942	7,257	12,390
Total Current Assets	11,319	18,196	31,084	78,368	210,095	403,950
Non-Current Assets:						
Long-term Equity Investment	930	812	1,263	1,263	1,263	1,263
Fixed Assets	3,948	5,820	7,081	11,891	18,428	25,775
Construction in progress	329	53	1,422	1,422	1,422	1,422
Intangible Assets	2,208	2,217	2,244	2,714	3,919	5,906
Other non-current assets	1,273	1,769	2,195	2,990	5,316	8,931
Total Non-current Assets	8,687	10,671	14,205	20,280	30,349	43,296
Total Assets	20,007	28,866	45,289	98,647	240,444	447,247
Current Liabilities:						
Short-term Loans	62	1,426	301	301	301	301
Notes & Accounts Payable	2,163	3,508	7,800	21,746	51,908	82,004
Advances from Customers	3	10	26	58	172	268
Employee Pay Payable	187	282	364	1,112	2,799	4,736
Tax Payable	213	244	1,250	2,236	7,509	11,074
Total Other Payables	1,165	383	1,032	2,243	6,727	10,445
Non-current Liabilities Due in One Year	559	644	784	784	784	784
Other Current Liabilities	9	0	0	1	3	4
Total Current Liabilities	4,360	6,497	11,558	28,481	70,203	109,617
Non-Current Liabilities:						
Long Term Debt	319	606	510	510	510	510
Long Term Payables	21	880	900	900	900	900
Provision	83	80	121	121	121	121
Deferred Income Tax Liabilities	216	270	291	291	291	291
Deferred Revenue - Non-current Liabilities	216	217	211	211	211	211
Other Non-current Liabilities	0	0	0	0	0	0
Total Non-current Liabilities	872	2,076	2,109	2,109	2,109	2,109
Total Liabilities	5,232	8,573	13,668	30,590	72,312	111,726
Shareholders' Equity:						
Paid-in Capital or Share Capital	803	1,121	1,111	1,111	1,111	1,111
Capital Reserve	8,058	7,731	8,107	8,107	8,107	8,107
Less: Treasury Stock	620	569	47	47	47	47
Surplus Reserve	113	175	348	348	348	348
Undistributed Profit	5,870	10,624	20,248	54,228	148,081	304,825
Shareholders' Equity	14,261	19,134	29,765	63,745	157,598	314,342
Total Shareholders' Equity	14,774	20,293	31,621	68,057	168,131	335,521
Total Liabilities and Shareholders' Equity	20,007	28,866	45,289	98,647	240,444	447,247

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Source: Company Reports and Citi Research Estimates

Figure 25. Innolight – Cash Flow Statement

Cash Flow Statement (Rmb m)	2023	2024	2025	2026E	2027E	2028E
Cash Flow from Operating Activities						
Net Profit	2,208	5,372	11,580	37,547	103,685	177,420
Provision for Asset Impairment	158	97	141	83	109	106
Depreciation	393	555	763	1,360	1,674	1,674
Amortization of Intangible Assets	85	98	86	124	181	295
Amortization of Long-term Deferred Expenses	47	60	84	175	447	949
Loss from Disposal of Fixed Assets, Intangible Assets and Other Long-term Assets	6	9	12	0	0	0
Loss from Changes of fair value of assets	3	-67	-14	0	0	0
Financial Costs	49	36	162	0	0	0
Investment Loss	-323	33	-379	0	0	0
Decrease of Deferred Income Tax Assets	-52	-110	50	0	0	0
Increase of Deferred Income Tax Liabilities	54	95	21	0	0	0
Changes in Working Capital	-832	-3,194	-2,029	-18,231	-49,506	-55,556
Other	59	155	396	0	0	0
Total Operating Cash Flow	1,855	3,138	10,875	21,058	56,591	124,887
Cash Flow from Investing Activities						
Cash Received from Disposal of Investment	4,435	2,619	1,003	0	0	0
Cash Received from Investment Income	42	20	75	0	0	0
Net Cash from Disposal of Fixed Assets, Intangible Assets and Other Long-term Assets	23	9	8	0	0	0
Other Received Cash Related to Investing Activities	42	26	58	0	0	0
Capital Expenditures	1,704	2,866	2,760	7,816	12,481	15,972
Cash Paid for Investment	3,933	2,725	983	0	0	0
Other Paid Cash Related to Investing Activities	38	0	0	0	0	0
Total Investing Cash Flow	-1,134	-2,916	-2,598	-7,816	-12,481	-15,972
Cash Flow from Financing Activities						
Cash Received from Investment	260	246	205	0	0	0
Cash Received from Borrowing	1,523	2,604	941	0	0	0
Other Received Cash Related to Financing Activities	169	0	0	0	0	0
Cash Used to Repay Debt	2,047	919	2,055	0	0	0
Cash Paid for Distribution of Dividends and Profits, as Well as Interest Payment	207	399	1,083	1,111	3,611	10,030
Other Paid Cash Related to Financing Activities	15	40	152	0	0	0
Total Financing Cash Flow	-316	1,492	-2,144	-1,111	-3,611	-10,030
Effect of changes in forex	20	39	-178	0	0	0
Incr / (Dec) in Cash	425	1,754	5,999	12,130	40,499	98,885
Cash at beginning of year	2,809	3,234	4,988	10,944	23,117	63,617
Cash at end of year	3,234	4,988	10,944	23,117	63,617	162,502

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Source: Company Reports and Citi Research Estimates

Valuation Analysis

P/E analysis

We believe P/E valuation would be the appropriate methodology to estimate fair value. Innolight was listed on the Shenzhen Stock Exchange ChiNext Board by backdoor listing in 2016. The shares' average five-year forward P/E is 24.8x (based on Bloomberg consensus) or 25.0x in the past three years which capture the latest AI cycle.

Innolight's key A-share peers, who focus on US clients for optical transceivers, are TFC (300394.SZ), DSBJ (002384.SZ), and Eoptolink (300502.SZ). Their average FY27E P/E as of 17-July-2026 was ~15.4x, while its overall optics peers listed in A-share and H-share (including the names cited above, excluding pure optical chip suppliers) average FY27E P/E as of 17-July-2026 was ~26.5x. US peers were at average 27.6x and overall global average was 23.0x.

We believe Innolight would tend to be valued at a premium to direct peers (i.e. TFC, DSBJ, and Eoptolink) given its market leadership, early SiPh penetration, and diversified exposure to all US CSPs and AI customers.

Below we present a valuation sensitivity analysis on various market-cap to net-profit (i.e. P/E) multiples based on our 2027E profit forecast.

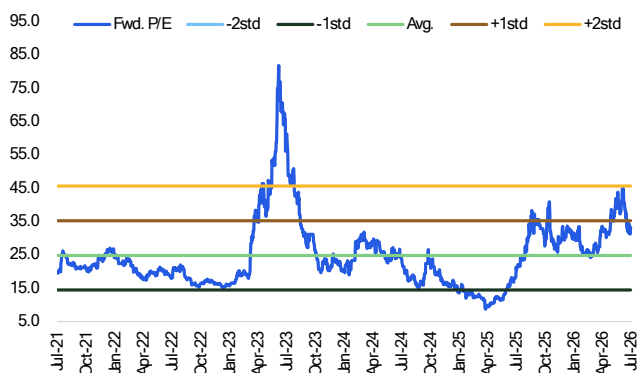
Figure 26. Innolight – Sensitivity Analysis: Equity Value to 2027E Net Profit Multiple (P/E)

2027E equity value to net profit multiple	HKD bn	USD bn
10x	1,049.7	134.6
11x	1,154.7	148.0
12x	1,259.7	161.5
13x	1,364.7	175.0
14x	1,469.6	188.4
15x	1,574.6	201.9
16x	1,679.6	215.3
17x	1,784.6	228.8
18x	1,889.5	242.2
19x	1,994.5	255.7
20x	2,099.5	269.2
21x	2,204.5	282.6
22x	2,309.4	296.1
23x	2,414.4	309.5
24x	2,519.4	323.0
25x	2,624.4	336.5
26x	2,729.3	349.9
27x	2,834.3	363.4
28x	2,939.3	376.8
29x	3,044.3	390.3
30x	3,149.2	403.7

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Source: Citi Research Estimates

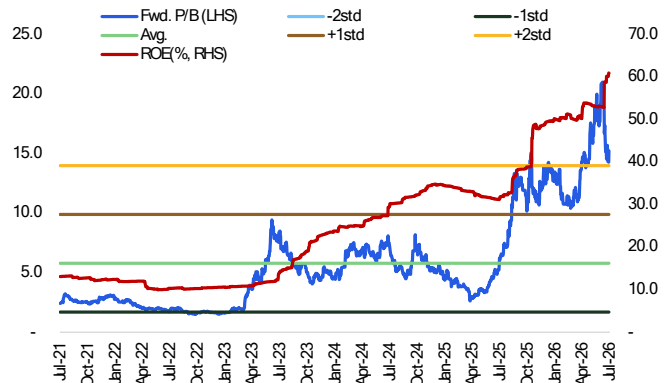
Figure 27. Innolight – Forward Consensus P/E



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Source: Citi Research, Bloomberg

Figure 28. Innolight – Forward Consensus P/B



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Source: Citi Research, Bloomberg

Valuation comps

Figure 29. Global Optical Interconnects Supply Chain – Valuation Comps (pricing as at 17-Jul-2026, 18:00 HKT)

		Mkt-Cap	P/E (x)			P/B (x)			Div. Yield (%)		ROE	
Company	RIC	US\$M	FY26E	FY27E	FY28E	FY26E	FY27E	FY28E	FY26E	FY27E	FY26E	FY27E
A-share optics names												
Accelink	002281.SZ	23,161	91.4	61.4	43.0	13.3	11.2	9.2	0.2	0.3	15.6	19.7
Innolight	300308.SZ	161,365	na	na	na	na	na	na	na	na	na	na
Eoptolink	300502.SZ	99,458	19.6	13.8	10.2	14.5	7.3	4.4	0.6	0.8	91.8	70.8
TFC Optical	300394.SZ	34,061	44.6	17.3	12.1	24.5	10.7	6.2	0.5	1.6	59.5	86.2
DSBJ	002384.SZ	65,458	55.4	15.1	7.4	15.0	7.5	3.7	na	na	31.4	66.3
T&S Communication:	300570.SZ	5,304	95.3	33.2	18.2	19.3	13.5	9.1	0.8	2.0	21.1	47.8
EverProX	300548.SZ	7,238	52.6	31.8	21.9	17.4	11.9	8.3	0.5	0.9	38.9	44.5
CIG (A)*	603083.SS	7,171	na	na	na	na	na	na	na	na	na	na
Average (ex. Yuanjie)			59.8	28.8	18.8	17.3	10.4	6.8	0.5	1.1	43.1	55.9
H-share optics names												
FIT*	6088.HK	4,954	17.4	12.6	9.4	1.7	1.5	1.3	0.0	0.0	9.7	12.3
CIG (H)*	6166.HK	7,171	na	na	na	na	na	na	na	na	na	na
Average			17.4	12.6	9.4	1.7	1.5	1.3	0.0	0.0	9.7	12.3
Global optics names												
Coherent	COHR.K	54,184	50.6	28.3	17.3	3.7	2.5	1.7	na	na	9.9	11.4
Lumentum	LITE.O	54,945	84.1	33.3	22.2	55.6	22.3	11.9	na	na	37.6	74.9
AOI*	AAOI.O	8,044	112.8	21.0	na	13.9	na	na	0.0	na	52.0	na
Average			82.5	27.6	19.7	24.4	12.4	6.8	0.0	na	33.1	43.2
Blended Average			53.2	23.0	16.0	14.5	8.1	5.0	0.2	0.6	28.6	37.1

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Source: Citi Research Estimates, *Estimates for asterisked companies are based on Consensus estimates

Key Risks

Customer concentration risks

Innolight's Top-5 customers accounted for 75.98% of revenue in 2025. A significant portion of Innolight's revenue is generated from a small number of large customers, particularly major cloud service providers and technology companies. The loss of any of these key customers, or a significant reduction in their orders, could have a material adverse effect on Innolight's financial performance and revenue stability.

Intensifying market competition

The market for optical transceivers is highly competitive, with numerous domestic and international competitors. This intense competition can lead to: (1) pricing pressure: aggressive pricing from competitors could erode profit margins; (2) loss of market share: failure to compete effectively on performance, innovation, and cost could result in a decline in market share; Innolight is positioned as the major suppliers to those CSPs, and market-share drop may happen if more suppliers enter the market; and (3) increased R&D costs: the need to constantly innovate to maintain a competitive edge requires significant and ongoing investment in research & development.

Market demand cyclical

Demand for optical transceivers is closely tied to the capital expenditures of telecommunications and data center operators. This spending can be cyclical and volatile, influenced by broader economic conditions and shifts in technology investment priorities. An economic downturn or a slowdown in data center construction could lead to a significant reduction in demand for Innolight's products.

Technology risks

The optical communications industry is characterized by rapid and significant technological advancements. Innolight's success is heavily dependent on its ability to anticipate and adapt to these changes by developing new and enhanced products in a timely manner. Failure to keep pace with new technologies and standards (such as 800G, 1.6T, and future-generation transceivers) could render its existing products obsolete and negatively impact its market position. Besides, under the CPO era, the content of DSP and optical engine will move to co-packaged chipset with switch ASIC, such that pluggable optical transceiver content will decline significantly. And the competitive landscape is dramatically changed under CPO.

Supply chain and manufacturing risks

Innolight relies on a complex global supply chain for the components and raw materials used in its products. This supply chain is subject to potential disruptions from various factors. The top-5 suppliers contributed 51.5% of procurement in which the largest supplier accounted for 35.76% in 2025. The failure of a key supplier to provide components on time and to specification can impact Innolight's production schedules.

Geopolitical and trade risks

As a company based in China with a significant international customer base, Innolight is exposed to geopolitical risks and trade tensions, particularly between the US and China. Tariffs, export controls, and other trade barriers could increase the cost of its products, restrict its access to key markets and technologies, and create uncertainty for its customers. The company has set up a Thailand manufacturing site with 50% of production contributed from Thailand in part to reduce such manufacturing risks. There is no visibility as to whether the US may consider to reserve the exemption of import trade tariffs for optical transceivers products and there is no visibility as to whether the US may consider a ban on Chinese optical transceivers. The US Department of Defense added Innolight to its Section 1260H list of Chinese military companies early this year, citing indirect state ownership through SASAC, China's state asset regulator, and direct subordination to the Ministry of Industry and Information Technology. We do not see major impact from Section 1260H, but any further escalation of the ban such as sanctions listing may incur major impact including in procuring DSP chips.

Appendix: Management & Key Shareholders

Management profiles

Dr. Sheng LIU, Chairman, President

Dr. Liu is the founder of Innolight Technology Suzhou Ltd., currently serving as Chairman of Zhongji Innolight. Dr. Liu has received bachelor's degree from Tsinghua University, master's degree from Institute of Automation, Chinese Academy of Sciences and doctor's degree from Georgia Institute of Technology, USA. Prior to founding Suzhou Innolight in 2008, He worked in Agere System (formerly Lucent), Pine Photonics Communications, Opnext and other optoelectronic enterprises, engaged in product R & D for a long time.

Ms. Xiaoli (Hellen) WANG, Chief Financial Officer, Vice President and Executive Director

Ms. Wang serves as CFO, Vice President, and Director of Zhongji Innolight Co., Ltd.. She joined the group in July 2017 as the deputy Chief Financial Officer of the Company. Since November 2014, Ms. Wang has successively served as the finance controller and vice president of finance of Suzhou Innolight. Prior to that, She worked at Price Waterhouse Coopers Zhongtian LLP. for nine years, and then served in a private equity fund. She graduated from Shanghai Jiao Tong University with a master's degree of science.

Mr. Jun (Tony) WANG, Vice President and Board Secretary

Mr. Wang serves as the Vice President and Secretary of the Board of Directors of Zhongji Innolight Co., Ltd. Wang Jun joined Zhongji Innolight Co. in January 2018. Prior to that, he worked as secretary of the board of directors of several listed companies since 2004, including Chengdu People's Department Store (Group) Co., Ltd., Sichuan Western Resources Holding Co., Ltd and Jiangsu Hengtong Optic-Electric Co., Ltd. Wang Jun was awarded Outstanding Secretary of the Board of Directors of Listed Companies by Shanghai Stock Exchange in 2010, the Top 100 Secretaries of the Board of Directors of China's Listed Companies in the Main Board in 2014. Then he won the Excellent Secretary of the Second-board of the 13th Chinese Listed Companies by Value Award in 2019, won the Best Secretary of the Second-board of the 11th China Listed Company Investor Relations Tianma Award in 2020, and won the 11th and 16th New Fortune Gold Secretary of the Board in 2015 and 2020. Mr. Wang received his degrees of Doctor of Industrial Economics from the Southwestern University of Finance and Economics and Master of Business Administration from Xi'an Jiao Tong University.

Mr. Yuzhou (Oliver) SUN, Chief Technology Officer

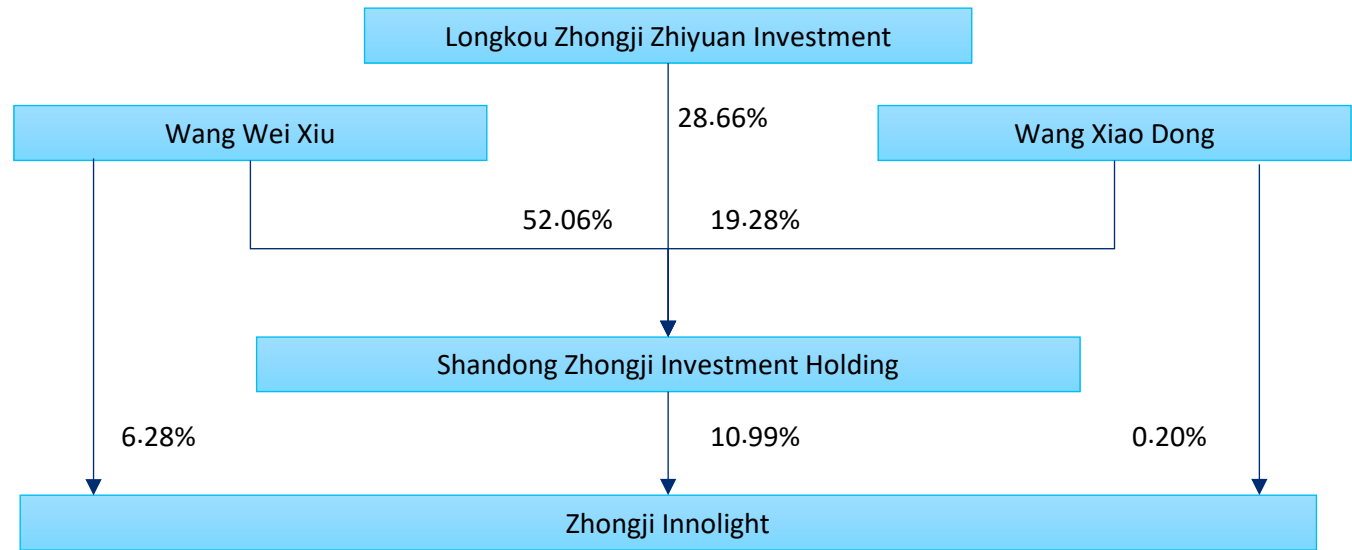
Mr. Sun serves as a CTO at Innolight Technology, associated with its technological development and R&D strategies. He received his bachelor degree from Xian Jiaotong University.

Shareholder structure

Shareholder structure as of May 2026 is detailed below.

Mr. Wei Xiu WANG is the chairman of Shandong Zhongji Investment Holding company.

Figure 30. Innolight – Shareholder Structure



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Source: Citi Research, Company Reports

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Appendix A-1

ANALYST CERTIFICATION

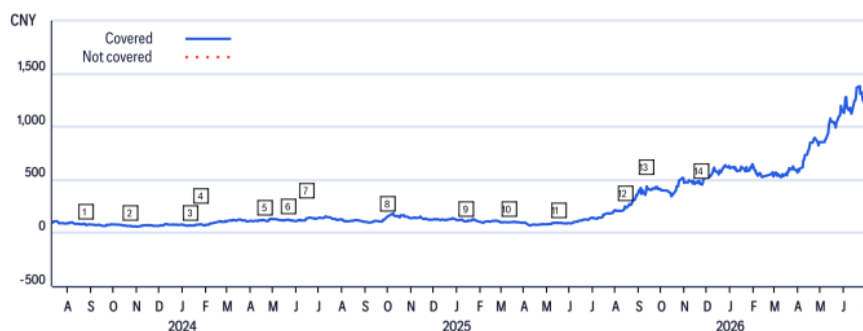
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IMPORTANT DISCLOSURES

Innolight (300308.SZ)

Ratings and Target Price History
Fundamental Research

Analyst: Kyna Wong



Date	Rating	Target Price	Closing Price
1 27-Aug-23 21:41:59	1	*91.86	76.39
2 23-Oct-23 04:02:54	1	*99.29	68.64
3 11-Jan-24 05:38:30	1	*115.71	73.85
4 28-Jan-24 20:10:48	1	*125.71	82.83
5 21-Apr-24 21:16:15	1	*146.43	121.93

*Indicates Change

Date	Rating	Target Price	Closing Price
6 21-May-24 19:59:43	1	*161.43	126.74
7 16-Jun-24 18:24:04	1	*183.00	138.30
8 07-Oct-24 20:25:22	1	*226.00	154.86
9 13-Jan-25 10:22:26	1	*215.00	110.80
10 11-Mar-25 18:00:35	1	*130.00	101.78

Date	Rating	Target Price	Closing Price
11 16-May-25 15:07:25	1	*132.00	97.83
12 13-Aug-25 14:24:12	1	*347.00	252.00
13 09-Sep-25 18:56:12	1	*569.00	359.29
14 23-Nov-25 18:05:33	*--	-	464.01

Rating/target price changes above reflect Eastern Time

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% of companies in each rating category that are investment banking clients	38%	42%	27%	42%	37%	36%

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